regulators also use the Monte Carlo method to estimate and measure the stability of financial systems.

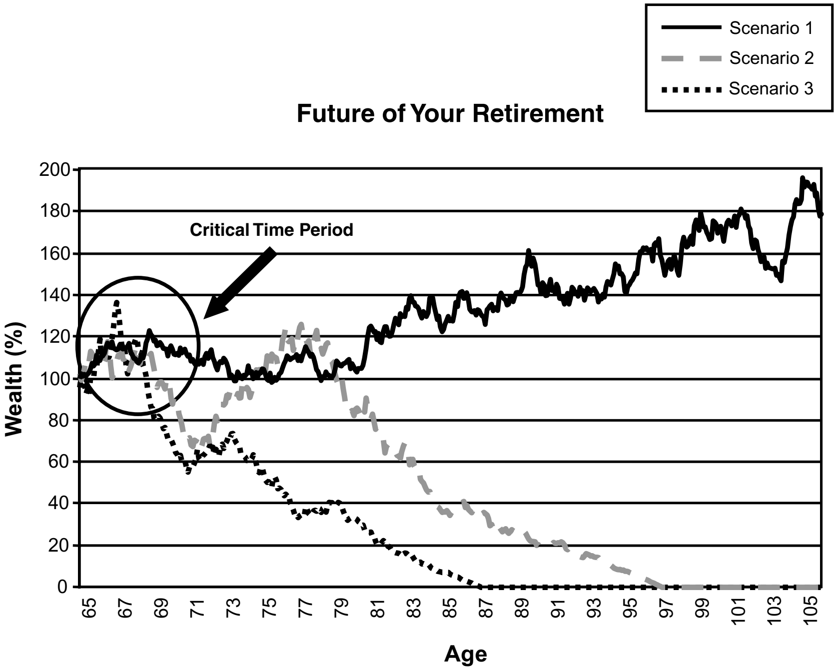

Figure 8.2 Anything can happen....

Source: Moshe Milevsky and the IFID Centre, 2008.

As you might have guessed, the name Monte Carlo itself comes from the underlying roulette wheel in the computer that generates the different scenarios. It may sound a bit removed to let a computer determine what the future will look like. But in fact, with its exhaustive computing capability, it does cover all possible contingencies, every possible scenario of what could happen over the next 40 years.

True, no computer could have predicted the collapse of the Asian economies a few years ago, or the debt default of the Russian government. The point is not to identify or predict specific events; rather, it is to compute all possibilities for the evolution of the financial markets in conjunction with human mortality.